

Airbnb arbitrage payback

Inputs	Value	Quick note
Setup capex	₹300,000	Furniture, appliances, decor, photography
Projected monthly booking subtotal	₹100,000	Use a normal month, not your best month
Monthly rent	₹50,000	Fixed payment to landlord
Monthly operating costs	₹12,000	Cleaning, utilities, wifi, consumables, repairs
Airbnb host fee	15.5%	Single-fee model; deducted from host payout
Residual value of setup	25.0%	Assumption: value you can recover on exit
Occupancy / revenue stress	100.0%	100% = base case; try 80% for a stress test
Secured lease / lock-in	11 months	Months of contractual certainty

Monthly economics	Value	
Stressed booking subtotal	₹100,000	Projected bookings × stress factor
Airbnb host fee	(₹15,500)	Deducted from host payout
Host payout after Airbnb fee	₹84,500	
Rent	(₹50,000)	
Operating costs	(₹12,000)	
Cash left each month	₹22,500	Amount available to recover capex

Payback test	Value	
Effective capex at risk	₹225,000	Setup capex less assumed residual value
Payback period	10.0 months	Effective capex ÷ monthly cash left
Lease / lock-in	11 months	

Payback vs lease

Tight

Gross booking-to-rent

2.0x *Useful spread check; not a universal benchmark*

Rule of thumb

For an 11-month lease, I would personally want payback around 6–7 months — or negotiate a longer lock-in.

Example: ₹100 booking subtotal under Airbnb's 15.5% single host fee → about ₹84.50 host earnings before taxes/other adjustments.

Source: <https://www.airbnb.com/help/article/1857>

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